Economically, the USSR offered low-interest loans on long-term timeframes that went directly to the Indian public sector. Just as notably, in the early 1970s, the newly strengthened relationship manifested in the use of Russian military equipment and technology by the Indian armed services. The USSR made licensed production easy and provided attractive financing terms and technical assistance. In time, Indian state-owned enterprises, particularly in the defence sector, grew accustomed to these arrangements. Moscow also provided other goods and services that India valued, such as critical components for its space programme. [1] A growing number of Indian students went to the Soviet Union and at times the USSR was India's largest bilateral trading partner. Politically, there was greater comfort against common foes in China and Pakistan. India often relied on Moscow's veto power at the United Nations to prevent foreign intervention in the Jammu and Kashmir dispute.

Nonetheless, there were evident limitations to this partnership. Defence relations were not always accompanied by technological transfers, and Moscow did little to help or encourage India's nuclear weapon programme. Privately, Indian military planners worried about the high costs of spares and uncertainties and lack of technical knowledge sharing. Indians often found attractive educational and work opportunities in the West—Europe and the United States—rather than in the Warsaw Pact countries, to some degree due to greater cultural and linguistic familiarity. In practice, differences also emerged over economic planning, with New Delhi—unlike Moscow—unable to manage all aspects of its domestic economy such as production and labour. The Soviet Union also occasionally put India in awkward positions, as after its decision to intervene in Afghanistan in late 1979. [2]

In the early 1980s, M.K. Rasgotra, India's foreign secretary at the time, recalled telling Indira Gandhi that India was in 'diplomacy stasis' concerning Pakistan, the United States, and China. 'The only major active relationship is with Moscow which is of course of central importance to our foreign policy,' he recalls assessing. But he also recognized the limitations of that relationship: 'we do not have any serious problems and a couple of